

eClerx KYC Compliance Policy & Procedures Manual

Version 4.2 | Effective Date: January 1, 2024 | Confidential

1. Introduction to KYC Policy

Know Your Customer (KYC) is a critical component of any financial institution's compliance framework. This policy document outlines the procedures, verification steps, risk assessment protocols, and escalation paths required for effective KYC compliance. All employees handling customer onboarding must adhere to this policy without exception. Non-compliance may result in regulatory sanctions, financial penalties, and reputational damage to the institution.



2. Customer Identification Program (CIP)

Under the Bank Secrecy Act (BSA) and FinCEN regulations, all financial institutions must maintain a robust Customer Identification Program. This includes collecting full legal name, date of birth, residential address, and government-issued identification number. For non-U.S. persons, a passport number or alien identification number is acceptable. Documents must be verified against authoritative databases within 5 business days of account opening.



3. Customer Due Diligence (CDD)

Standard Customer Due Diligence applies to all retail and business customers. The CDD process requires verification of identity, understanding the nature and purpose of the customer relationship, and ongoing monitoring of transactions. For low-risk customers, simplified due diligence (SDD) may apply. High-risk

customers trigger Enhanced Due Diligence (EDD) procedures including senior management approval and more frequent review cycles (annually vs. every 3 years for low risk).



4. Enhanced Due Diligence (EDD)

Enhanced Due Diligence is mandatory for Politically Exposed Persons (PEPs), customers from high-risk jurisdictions (FATF blacklist and greylist countries), customers with unusual transaction patterns, and any customer flagged by our automated monitoring systems. EDD requires: source of funds verification, source of wealth documentation, senior management approval, and a detailed written risk assessment. EDD records must be retained for a minimum of 7 years post-relationship closure.



5. Risk Classification Framework

All customers are assigned a risk rating: LOW, MEDIUM, HIGH, or VERY HIGH. This rating determines the level of due diligence applied, the frequency of periodic reviews, and transaction monitoring thresholds. Risk factors include: geographic risk (country of residence and nationality), product risk (type of account or service), customer risk (occupation, PEP status, adverse media), and transaction risk (volume, frequency, complexity). The risk matrix is reviewed quarterly by the Compliance team.



6. Beneficial Ownership

For legal entity customers (corporations, partnerships, trusts), beneficial ownership must be established for all individuals owning 25% or more of the entity. Additionally, one individual with significant control or management authority must be identified. Ownership structures exceeding 4 layers of entities require enhanced scrutiny and may require a compliance officer sign-off. Shell companies in non-cooperative jurisdictions are subject to automatic HIGH risk classification.



7. Screening and Sanctions Compliance

All customers must be screened against OFAC SDN lists, EU consolidated sanctions lists, UN sanctions lists, and domestic PEP databases before account opening and on a daily basis thereafter. Any positive match triggers an immediate account freeze and escalation to the Chief Compliance Officer within 2 hours. False positive matches must be documented with supporting evidence for the reasonable cause determination. Screening results are stored for a minimum of 5 years.



8. Transaction Monitoring

The automated transaction monitoring system evaluates all transactions against defined rules and scenarios including: structuring/layering, rapid movement of funds, geographical inconsistencies, dormant account activity, and peer group anomalies. Alerts are generated for transactions exceeding risk-based thresholds. All alerts must be reviewed within 24 hours by a trained analyst. Substantiated suspicious activity requires filing a Suspicious Activity Report (SAR) within 30 calendar days of detection.



9. Periodic Review

Customer profiles must be reviewed periodically based on their risk classification: LOW risk — every 36 months, MEDIUM risk — every 24 months, HIGH risk — every 12 months, VERY HIGH risk — every 6 months. Reviews include re-verification of identity documents if expired, update of beneficial ownership, reassessment of risk rating, and review of recent transactions for red flags. Customers who cannot be reviewed due to unresponsiveness may be subject to account restriction or closure.



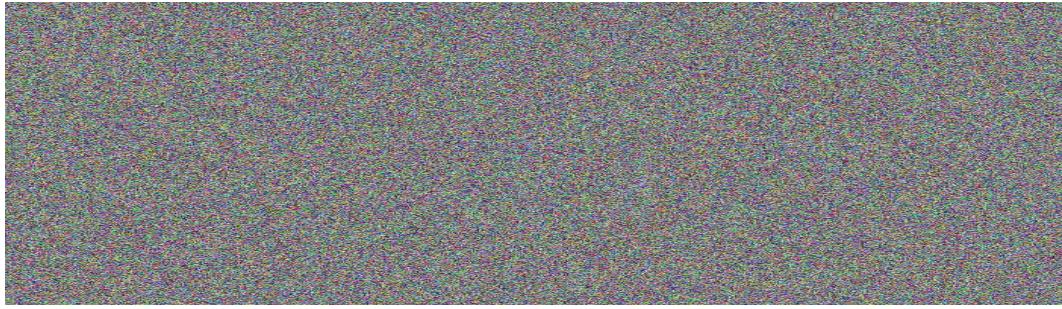
10. Record Keeping Requirements

All KYC documentation, including identification records, risk assessments, due diligence reports, screening results, transaction records, and SARs, must be retained for a minimum of 5 years from account opening or the date of the last transaction, whichever is later. For EDD customers, the retention period is 7 years. Records must be readily retrievable for regulatory inspection within 72 hours of request. Digital records must be stored in tamper-evident, encrypted formats.



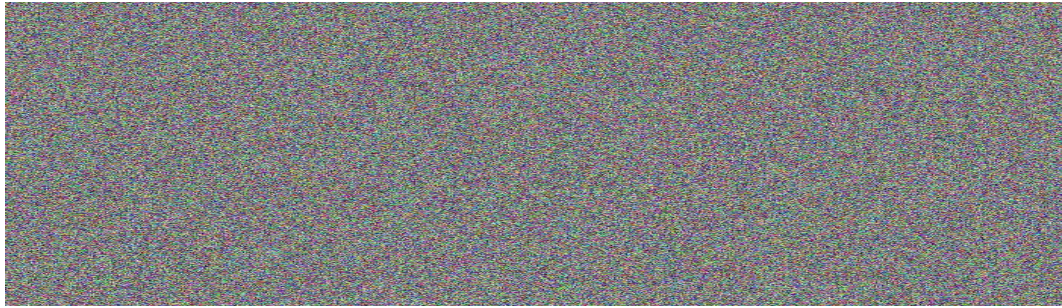
11. Politically Exposed Persons (PEPs)

A Politically Exposed Person is an individual who holds or has held a prominent public function, including heads of state, senior politicians, senior government officials, judicial officials, military officials, senior executives of state-owned corporations, and senior officials of political parties. Family members and close associates of PEPs are also treated as PEPs. All PEP relationships require EDD, senior management approval, and annual review.



12. Non-Resident Alien (NRA) Accounts

For Non-Resident Alien customers, additional documentation is required including a W-8BEN form, foreign tax identification number, and certification of non-US person status. NRA accounts with treaty benefits require annual re-certification. NRA customers from FATF high-risk jurisdictions are automatically classified as HIGH or VERY HIGH risk. Wire transfers involving NRA accounts are subject to enhanced monitoring thresholds.



13. Virtual Assets and Crypto

Customers engaging in virtual asset transactions are subject to the same KYC/AML requirements as traditional financial products. Additionally, the source of virtual assets must be established, and blockchain analytics tools must be used to assess transaction risk. Virtual asset service providers (VASPs) onboarded as business customers require full VASP due diligence including licensing verification, AML program assessment, and geographic footprint analysis.



14. Correspondent Banking

Correspondent banking relationships require enhanced due diligence that must include: assessment of the respondent bank's AML/CFT controls, ownership and management structure, regulatory oversight, and

geographic risk profile. Payable-through accounts are prohibited without explicit senior management approval and documentation of the underlying customer base. Annual certifications must be obtained from correspondent banks confirming their compliance program remains effective.



15. Training and Awareness

All staff with customer-facing responsibilities must complete KYC/AML training upon joining and annually thereafter. The training curriculum covers: identification of money laundering typologies, red flags for fraud and financial crime, sanctions screening procedures, SAR filing obligations, and whistleblower protections. Training completion is tracked in the Learning Management System and is a mandatory requirement for annual performance reviews.



16. Governance and Oversight

The KYC Policy is owned by the Chief Compliance Officer and is reviewed and approved by the Board Risk and Compliance Committee annually. The Compliance team is responsible for day-to-day implementation and oversight. Internal Audit conducts an independent review of KYC processes annually. Findings are reported to the Audit Committee with a 90-day remediation timeline for high-severity findings. Regulatory examination findings receive priority remediation within 30 days.



17. Escalation Procedures

The following triggers require immediate escalation to the CCO: sanctions matches, SAR decisions, PEP relationship approval, VERY HIGH risk customer onboarding, law enforcement requests, and customer complaints alleging discrimination in account access. Escalation must be documented in the case management system. The CCO may escalate further to the CEO or Board in cases involving potential regulatory breach or reputational risk.



18. Third Party Reliance

The institution may rely on third parties to perform CIP and CDD procedures, provided that: a written agreement is in place, the third party is subject to equivalent AML regulation, the third party certifies compliance annually, and records can be obtained within 2 business days on request. Outsourcing KYC obligations does not transfer ultimate regulatory responsibility, which remains with the institution. Third party performance is reviewed annually by the Compliance team.



19. Privacy and Data Protection

KYC data collected from customers is subject to applicable privacy laws including GDPR, CCPA, and local data protection regulations. Customers have the right to access their KYC data, subject to AML confidentiality restrictions (the tipping-off prohibition). Data must be stored in encrypted form with access restricted to authorized personnel on a need-to-know basis. Cross-border transfers of KYC data must comply with applicable data transfer restrictions.



20. Penalties and Enforcement

Failure to comply with this KYC Policy may result in disciplinary action up to and including termination of employment. Knowingly facilitating financial crime or circumventing KYC controls may result in personal criminal liability. The institution cooperates fully with regulatory investigations and law enforcement requests. Employees are protected from retaliation for good-faith reporting of suspected compliance violations through the whistleblower program.



21. Appendix A: Document Verification Standards

Acceptable identity documents by jurisdiction: United States — Passport, Driver's License, State ID; United Kingdom — Passport, Driving Licence, National ID; European Union — National ID Card, Passport; India — Aadhaar Card, Passport, PAN Card; China — Resident Identity Card, Passport; All other jurisdictions — Valid Passport. Documents must be current and not expired. Scanned copies must be of sufficient quality to verify all security features. Original documents must be verified where possible for HIGH and VERY HIGH risk customers.



22. Appendix B: High-Risk Jurisdiction List

FATF High-Risk Jurisdictions Subject to a Call for Action (Black List): Democratic People's Republic of Korea (DPRK), Iran, Myanmar. FATF Jurisdictions Under Increased Monitoring (Grey List): Albania, Barbados, Burkina Faso, Cameroon, Cayman Islands, Congo, Croatia, Democratic Republic of Congo, Gibraltar, Haiti, Jamaica, Jordan, Mali, Mozambique, Nigeria, Panama, Philippines, Senegal, South Africa, South Sudan, Syria, Tanzania, Turkey, Uganda, United Arab Emirates, Vietnam, Yemen. Internal High-Risk List: Available in the Compliance SharePoint — updated monthly.



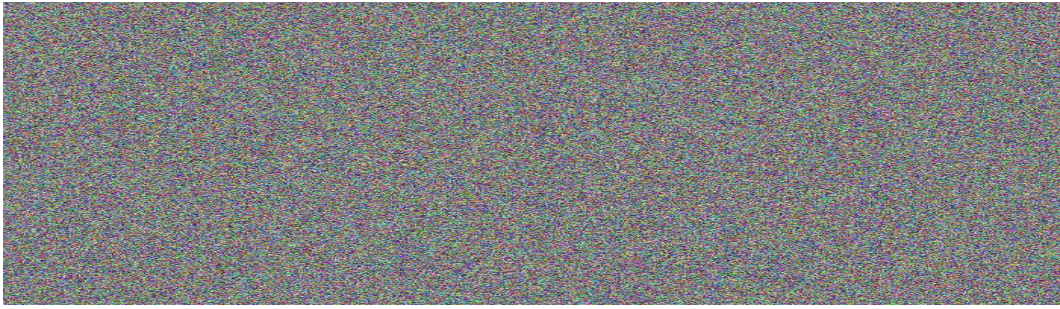
23. Appendix C: SAR Filing Thresholds

Suspicious Activity Reports must be filed when: (1) A transaction involves funds derived from illegal activity of \$5,000 or more; (2) A transaction is designed to evade reporting requirements regardless of amount; (3) The institution knows or suspects that a customer is engaged in terrorist financing; (4) A transaction has no apparent lawful purpose. SAR filings are confidential and must not be disclosed to the subject. Retention period for SAR documentation: 5 years. Continuing suspicious activity requires a SAR every 90-120 days.



24. Appendix D: Risk Scoring Matrix

Geographic Risk: FATF Black List = 100 pts, FATF Grey List = 60 pts, Domestic = 10 pts. Customer Risk: PEP = 80 pts, High-net-worth individual = 40 pts, Retail = 10 pts. Product Risk: Wire transfers = 50 pts, Cash-intensive business = 60 pts, Standard deposit = 10 pts. Transaction Risk: >\$100K single transaction = 50 pts, >\$50K = 30 pts, Normal = 5 pts. Total Score: 0-30 = LOW, 31-60 = MEDIUM, 61-100 = HIGH, >100 = VERY HIGH. Score overrides may be applied by the CCO with documented justification.



25. Appendix E: Glossary

AML: Anti-Money Laundering. BSA: Bank Secrecy Act. CDD: Customer Due Diligence. CIP: Customer Identification Program. EDD: Enhanced Due Diligence. FATF: Financial Action Task Force. FinCEN: Financial Crimes Enforcement Network. KYC: Know Your Customer. OFAC: Office of Foreign Assets Control. PEP: Politically Exposed Person. SAR: Suspicious Activity Report. SDD: Simplified Due Diligence. SDN: Specially Designated Nationals. VASP: Virtual Asset Service Provider. CTR: Currency Transaction Report. MSB: Money Service Business. NRA: Non-Resident Alien. AML/CFT: Anti-Money Laundering and Countering the Financing of Terrorism.

